Does the way we show a price change who wants to buy?

The question we tested

Does showing a price as "4 payments of $4.99" instead of "$19.99" raise purchase intent, and does that change when a discount anchor or customer reviews are also shown?

Response

"How likely would you be to purchase this item?" Rated 1 (extremely unlikely) to 7 (extremely likely).

Product

One unbranded pair of wireless earbuds, with the same image, title, and description in every form.

Participants

244 survey responses, each person seeing one version only.

Three factors, two levels each

A. Price framing

Lump sum: $19.99

Installments: 4 payments of $4.99

B. Discount anchor

No anchor: price alone

Anchor: $29.99 crossed out beside the sale price

C. Social proof

No reviews shown

Reviews: "4.8★ — 500+ reviews"

Randomization: 2×2×2 gives 8 forms; each respondent was assigned to one at random.

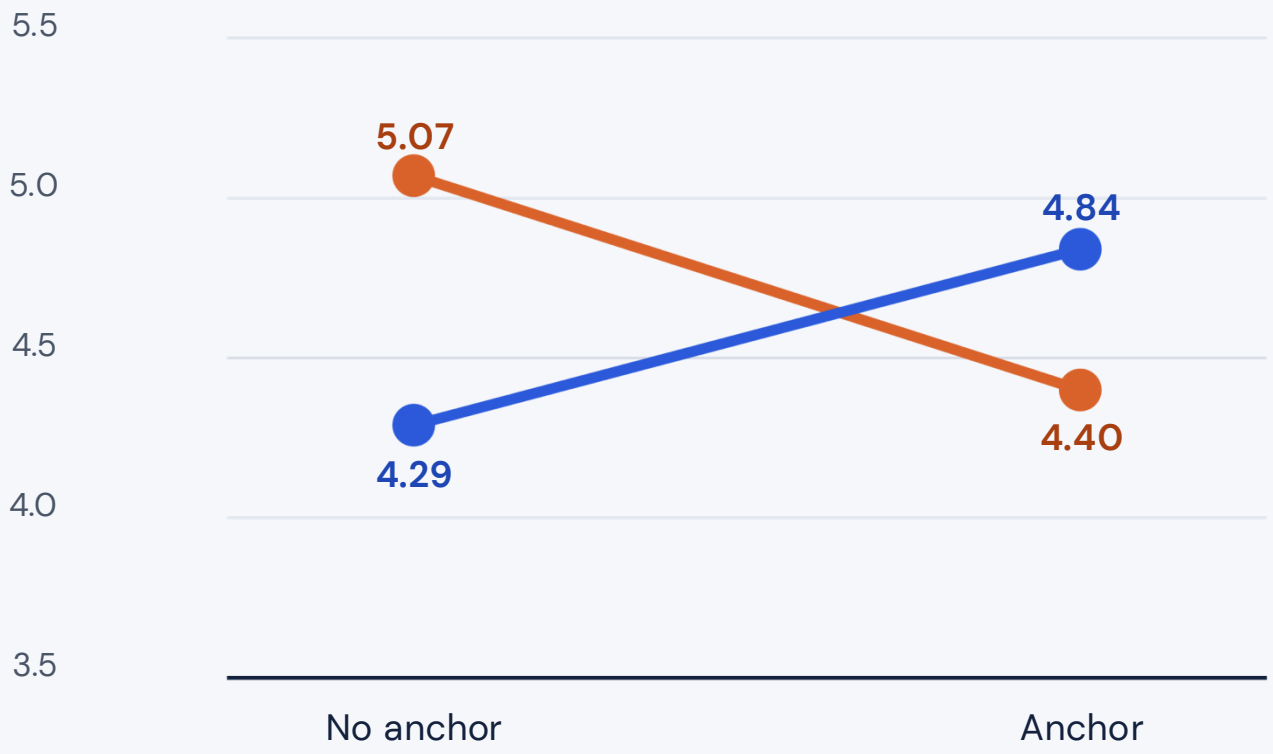
Replication: target of 15–20 independent responses per form.

244 responses across eight forms

Version	Price framing	Anchor	Reviews	n	Mean
V1	Lump sum	No anchor	No reviews	27	5.11
V2	Lump sum	No anchor	Reviews	30	4.17
V3	Lump sum	Anchor	No reviews	35	4.09
V4	Lump sum	Anchor	Reviews	31	4.81
V5	Installments	No anchor	No reviews	34	5.03
V6	Installments	No anchor	Reviews	29	4.41
V7	Installments	Anchor	No reviews	28	4.79
V8	Installments	Anchor	Reviews	30	4.87

Overall mean 4.65 on the 1–7 scale. Cell sizes ranged from 27 to 35, so the design is slightly unbalanced.

Mean purchase intent by anchor and reviews



- No reviews
- Reviews shown

The lines cross. Reviews alone lower intent, but once a discount anchor is also shown, reviews raise it.

Means pool the two framing conditions (n = 59 to 63 per point).

Only one effect is significant

Three-way ANOVA, Rating ~ Framing × Anchor × Reviews. Type III sums of squares because cell sizes are unequal. H0 for each term: no effect, tested at $\alpha = 0.05$.

Source	df	F	p-value
Price framing	1	1.31	0.253
Anchor	1	0.05	0.827
Reviews	1	0.88	0.349
Framing × Anchor	1	0.54	0.462
Framing × Reviews	1	0.15	0.701
Anchor × Reviews	1	8.55	0.004
Framing × Anchor × Reviews	1	1.44	0.232
Error	236	—	—

What we found

$p = 0.25$

Installments did not move intent

4.79 for installments against 4.51 for lump sum is not a significant gap.

$p > 0.34$

Anchor and reviews alone did nothing

Neither cue had a significant main effect on its own.

$p = 0.004$

Anchor and reviews interact

Each cue alone lowered intent, and together they recovered it.

Implication: a seller should test pricing cues in combination, because a cue that helps or hurts alone can behave differently when paired with another.

Limits, and what we would change

Limitations

- Variance and residual checks both flagged departures from the ANOVA assumptions (Levene and Shapiro-Wilk, $p < 0.001$).
- Cell sizes ranged from 27 to 35, not the planned 15–20 per form in a balanced design.
- Several submissions arrived seconds apart, so independence is a concern.
- A hypothetical product and a convenience sample limit how far results generalize.

If ran again

- Cap each device or person at one submission.
- Fix equal cell sizes with quotas before launch.
- Check an ordinal model as a robustness test for the 1–7 ratings.
- Biggest challenge: keeping group sizes equal across eight separate forms.